

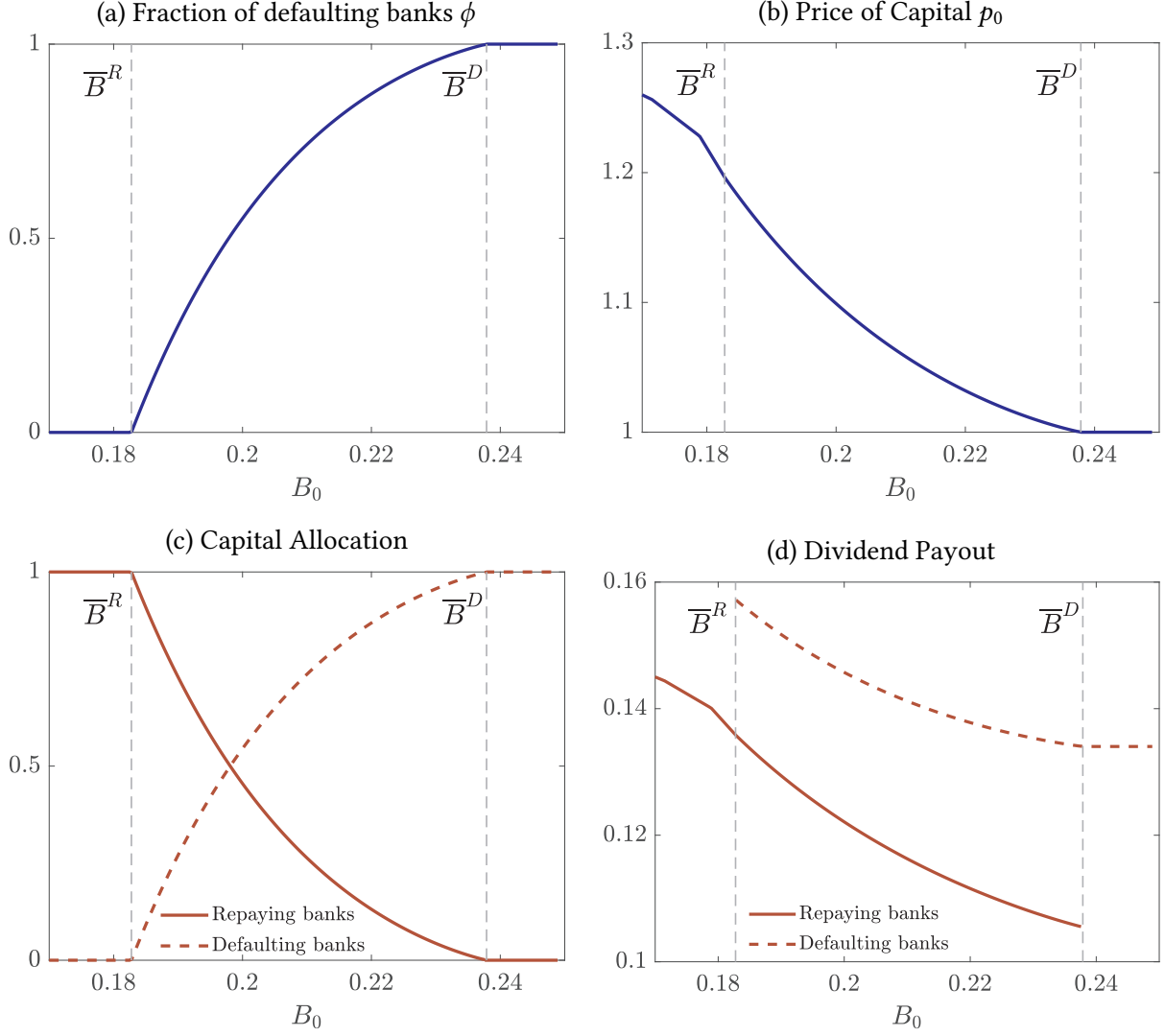


Figure 5: Initial values in transitional dynamics for a range of values of B_0

Notes: The simulation was generated using $R = 1.1$, $\beta = 0.97/R$, $\underline{z} = \beta/(1 - \beta)$, $\bar{z} = 1.15\underline{z}$, and $\bar{K} = 1$. The vertical dashed lines denote the stationary borrowing thresholds. In panel (c), capital of repaying and default banks is given by $(1 - \phi)K_1^R$ and ϕK_1^D .